

Alumex PLC

Interim Report



2

Second Quarter

Three Months Ended 30th September, 2023

Income Statements

For the period ended 30th September, 2023

Company	Company			Company		
Audited year ended 31.03.23 Rs.'000	Unaudited 6 months to 30.09.23 Rs.'000	Unaudited 6 months to 30.09.22 Rs.'000	Change %	Unaudited 3 months to 30.09.23 Rs.'000	Unaudited 3 months to 30.09.22 Rs.'000	Change %
10,214,848 Revenue	4,203,864	5,209,438	(19)	2,420,044	2,297,508	5
(8,165,158) Cost of sales	(3,520,724)	(4,467,489)	(21)	(1,868,940)	(1,985,739)	(6)
2,049,690 Gross profit	683,141	741,948	(8)	551,104	311,768	77
84,286 Other income	26,328	34,296	(23)	4,427	19,973	(78)
(321,925) Distribution expenses	(205,219)	(145,854)	41	(103,442)	(70,246)	47
(589,573) Administrative expenses	(395,633)	(259,906)	52	(206,851)	(110,516)	87
1,222,478 Results from operating activities	108,617	370,485	(71)	245,239	150,979	62
721,330 Finance Income	387,412	453,709	(15)	288,684	8,049	>100
(1,790,268) Finance Costs	(886,082)	(814,092)	9	(532,482)	(310,419)	>100
(1,068,938) Net finance costs	(498,670)	(360,383)	38	(243,798)	(302,370)	(19)
153,540 Profit/(Loss) before tax	(390,053)	10,102	>100	1,441	(151,390)	>100
(163,750) Tax (expense)/Reversal	103,774	(1,725)	>100	(686)	27,692	>100
(10,210) Profit/(Loss) for the period	(286,279)	8,377	>100	754	(123,698)	>100
Earnings per share						
(0.02) Basic earnings per share (Rs.)	(0.48)	0.01		0.00	(0.21)	

Statements of Comprehensive Income

Company	Company			Company		
Audited year ended 31.03.23 Rs.'000	Unaudited 6 months to 30.09.23 Rs.'000	Unaudited 6 months to 30.09.22 Rs.'000	Change %	Unaudited 3 months to 30.09.23 Rs.'000	Unaudited 3 months to 30.09.22 Rs.'000	Change %
(10,210) Profit/(Loss) for the Period	(286,279)	8,377	>100	754	(123,698)	>100
Other Comprehensive income						
(8,932) Actuarial gains / (losses) on defined benefit plans	-	-		-	-	
2,680 Income tax effect on actuarial gains / (losses)	-	-		-	-	
- Revaluation of land	-	-		-	-	
(44,183) Income tax effect on revaluation surplus	-	-		-	-	
(50,435) Other comprehensive income/(Expense) for the period, net of tax	-	-		-	-	
(60,646) Total comprehensive income/(Expense) for the period, net of tax	(286,279)	8,377	>100	754	(123,698)	>100

Statements of Financial Position

Company		Company	
Audited		Unaudited	Unaudited
as at		as at	as at
31.03.23		30.09.23	30.09.22
Rs.'000		Rs.'000	Rs.'000
		Notes	
ASSETS			
Non - current assets			
4,650,641	Property, plant & equipment	4,620,550	4,583,182
266,293	Right of use asset/Lease Asset	243,087	261,602
85,658	Intangible assets	76,579	86,583
-	Investments in subsidiaries	-	-
5,002,592	Total non-current assets	4,940,217	4,931,367
Current assets			
3,656,606	Inventories	3,468,616	4,158,326
1,177,609	Trade and other receivables	1,058,956	1,087,971
508,049	Advances and prepayments	364,925	1,060,077
16,486	Income tax recoverable	17,956	46,708
156,688	Cash & cash equivalents	165,042	508,023
5,515,438	Total current assets	5,075,495	6,861,105
10,518,030	Total assets	10,015,713	11,792,474
EQUITY AND LIABILITIES			
283,735	Stated capital	283,735	283,735
228,056	Capital reserves	228,056	228,056
705,589	Other components of equity	703,125	752,594
2,391,217	Revenue reserves	2,107,396	2,413,235
3,608,597	Total equity attributable to owners of the parent	3,322,312	3,677,620
-	Non- controlling interest	-	-
3,608,597	Total Equity	3,322,312	3,677,620
Non - current liabilities			
656,122	Interest bearing borrowings	387,700	878,856
219,091	Non Current Portion of Lease Liabilities	206,331	281,391
206,975	Employee benefit obligations	218,661	176,673
444,218	Deferred tax liability	341,914	271,019
1,526,407	Total non-current liabilities	1,154,606	1,607,938
Current liabilities			
1,693,480	Trade and other payables	1,402,576	2,277,638
573,067	Current portion of long term interest bearing borrowings	573,067	573,067
76,428	Current Portion of Lease Liability	74,309	17,301
3,017,627	Short-term interest bearing borrowings	3,464,592	3,617,551
22,424	Provisions	23,382	21,359
	Other current financial liabilities	869	
	Income tax payable	-	-
5,383,026	Total current liabilities	5,538,793	6,506,915
6,909,433	Total liabilities	6,693,399	8,114,854
10,518,030	Total equity and liabilities	10,015,713	11,792,474

The Financial Position as at 30th September, 2023 and Income Statements ,Statements of Comprehensive Income, Changes in Equity and Cash Flow for the six months then ended are drawn up from the unaudited financial statements of the Company and they provide the information required by the Colombo Stock Exchange.

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act no 7 of 2007.

Sgd

R P P K Rajapaksha
Director / Chief Financial Officer

Signed for and on behalf of the Board

Sgd

A M Pandithage
Chairman
31 October 2023

Sgd

D W P N Dediwela
Managing Director

Statements of Changes in Equity

For the period ended 30th September, 2023

Company

	Stated capital	Capital reserve	Revaluation reserve	Retained earnings	Total Equity
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 1st at April, 2023	283,735	228,056	705,588	2,391,212	3,608,593
Profit for the period	-	-	-	(286,279)	(286,279)
Surcharge tax paid					-
Other Comprehensive income					
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-
Revaluation of land	-	-	-	-	-
Income tax effect on Revaluation surplus	-	-	-	-	-
Total other comprehensive income	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	(286,279)	(286,279)
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	-	-
Transfers	-	-	(2,463)	2,463	-
Total contributions by and distributions to owners	-	-	(2,463)	2,463	-
Balance as at 30th September 2023	283,735	228,056	703,125	2,107,396	3,322,312
Balance as at 1st at April, 2022	283,735	228,056	711,715		
Charge relating to Surcharge Tax	-	-	-	(63,108)	
Balance as at 1st at April, 2022	283,735	228,056	711,715	1,669,254	2,892,761
Profit for the period	-	-	-	8,377	8,377
Other Comprehensive income					
Actuarial gains / (losses) on defined benefit plans	-	-	-	-	-
Income tax effect on actuarial gains / (losses)	-	-	-	-	-
Revaluation of land	-	-	-	-	-
Income tax effect on Revaluation surplus	-	-	-	-	-
Depreciation Transfer for Building					-
Total other comprehensive income	-	-	-	-	-
Total Comprehensive income for the period	-	-	-	8,377	8,377
Transactions with owners, recorded directly in equity					
Dividends to equity holders	-	-	-	(149,651)	(149,651)
Transfer			(2,463)	2,463	-
Amalgamation Reserve- Alco Industries (Pvt) Ltd	-	-	43,342	882,792	926,134
Total contributions by and distributions to owners	-	-	40,879	735,604	776,483
Balance as at 30th September 2022	283,735	228,056	752,594	2,413,235	3,677,621

Cash Flow Statements

For the period ended 30th September, 2023

Company		Company	
Audited as at 31.03.23 Rs.'000	Cash Flows from Operating Activities	Unaudited 6 months to 30.09.23 Rs.'000	Unaudited 6 months to 30.09.22 Rs.'000
153,541	Profit before taxation	(390,053)	10,102
	Adjustments for,		
1,208,112	Interest cost	472,625	487,000
(17,667)	Interest income	(3,115)	(12,788)
42,689	Provision for gratuity	17,986	14,200
-	Other operating Income	(9,994)	-
(9,989)	Provision for bad debts	11,704	8,221
(36,975)	Provision/(Reversal) for Impairment of Property,Plant & Equipment		-
355,295	Depreciation and amortisation	196,014	165,546
1,695,008	Operating profit before working capital changes	295,166	672,282
(54,479)	(Increase)/ decrease in inventories	187,990	(556,200)
1,220,825	(Increase)/ decrease in trade and other receivables	197,100	683,761
15,466	(Increase)/ decrease in advances and prepayments	(22,052)	8,836
(876,396)	Increase/ (decrease) in trade and other payables	(214,057)	(217,634)
2,000,423	Cash generated from operating activities	444,146	591,045
(1,170,751)	Interest cost paid	(454,978)	(470,204)
(304,126)	Income tax paid	-	(304,123)
-	Other Income Received	9,994	
(10,907)	Retirement benefit liability paid	(6,300)	(3,788)
514,639	Net cash from operating activities	(7,138)	(187,070)
	Cash Flows from Investing Activities		
(525,447)	Acquisition of property, plant and equipment	(130,787)	(335,679)
-	Proceeds from sale of property, plant and equipment	-	-
-	Net Proceeds from short term investments	-	-
17,667	Interest income received	3,115	12,788
(507,780)	Net cash flows used in investing activities	(127,672)	(322,891)
	Cash Flows from Financing Activities		
(551,192)	Repayment of interest bearing loans and borrowings	(268,422)	(328,458)
(73,825)	Lease Rental Paid	(35,379)	(30,623)
-	Proceeds from interest bearing loans and borrowings	-	-
(269,373)	Dividend paid	-	(267,077)
(894,389)	Net cash flows from/ (used in) financing activities	(303,801)	(626,159)
(887,532)	Net increase/ (decrease) in cash and cash equivalents	(438,611)	(1,136,120)
(173,871)	Cash and cash equivalents from the Alco Industries (Pvt) Ltd as at the beginning of the year	-	-
(1,799,538)	Cash and cash equivalents at the beginning of the year	(2,860,939)	(1,973,408)
(2,860,939)	Cash and cash equivalents at end of the period	(3,299,550)	(3,109,528)
	Analysis of Cash & Cash Equivalents		
156,688	Cash in Hand and at Bank	165,042	508,023
(3,017,627)	Short-term interest bearing borrowings	(3,464,592)	(3,617,551)
(2,860,939)	Cash and cash equivalents at end of the period	(3,299,550)	(3,109,528)

Notes to the Financial Statements

- 1 The Interim Condensed Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard LKAS 34- Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2023.

The accounting policies adopted in the preparation of the Interim Condensed Consolidated Financial Statements are consistent with those followed in the preparation of the Annual Consolidated Financial Statements for the year ended 31st March 2023.

The Interim Condensed Financial Statements also provide information required by the Colombo Stock Exchange.

- 2 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the Financial Statements.
- 3 Basic Earning Per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of shares outstanding during the period

<u>Company</u>	<u>Company</u>	
Audited	Unaudited	Unaudited
as at	as at	as at
31.03.23	30.09.23	30.09.22
Rs.'000	Rs.'000	Rs.'000
(10,209) Profit for the Period	(286,279)	8,377
598,605,680 Weighted Average No. of Shares	598,605,680	598,605,680
(0.02) Diluted and Basic Earnings Per Share	(0.48)	0.01

4 STATED CAPITAL

Audited	Unaudited	Unaudited
as at	as at	as at
31.03.23	30.09.23	30.06.22
Rs.'000	Rs.'000	Rs.'000
Issued and fully paid		
283,735 598,605,680 Ordinary Shares	283,735	283,735

- 5 During the period there were no material changes in the composition of assets, liabilities and contingent liabilities and there is no seasonality and cyclicity affecting the interim operation.
- 6 Previous year's figures and phrases have been re-arranged wherever necessary to conform to current year presentation.

Investor Information

MARKET VALUE OF SHARES

The market value of an ordinary share of Alumex PLC was as follows:

	30.09.2023	30.09.2022
	<u>Rs.</u>	<u>Rs.</u>
Last traded price	9.60	9.90
Highest price recorded for the three months ending	10.60	11.00
Lowest price recorded for the three months ending	7.70	5.40
Market capitalisation (Rs. Mn.)	5,747	5,866

RATIOS

	30.09.2023	30.09.2022
Net assets per share	5.55	6.16
Price earnings ratio (times) (Annualised)	(20.07)	353.73
Return on Equity	-8.17%	0%
Return on Assets	-2.86%	0.14%
Current Ratio	0.92	1.05
Gearing	59%	59%

SHARE TRADING FROM 1ST APRIL, 2023 TO 30TH September, 2023

No. of transactions	8,271
No. of shares traded	41,308,207
Value of shares traded (Rs.)	390,882,906

Investor Information

FIRST TWENTY SHAREHOLDERS AS AT 30 SEPTEMBER 2023

	Name of the Shareholder	No.of Shares as at 30.09.2023	%
1	Hayleys Limited No 1 Share Investment Account	314,826,064	52.59
2	Akbar Brothers Pvt Ltd A/C No.1	80,169,400	13.39
3	Dean Foster (Pvt) Ltd A/C No.1	28,427,800	4.75
4	Mr.D.W.P.N.Dediwela	21,338,400	3.56
5	Sampath Bank PLC/Dr. T. Senthilverl	7,800,000	1.30
6	Rubber Investment Trust Ltd A/c No. 01	5,480,421	0.92
7	Union Assurance PLC-Universal Life Fund	4,263,325	0.71
8	Deutsche Bank AG-National Equity Fund	4,108,164	0.69
9	Seylan Bank PLC/W. D. N. H. Perera	3,490,582	0.58
10	Mr. K. D. H. Perera	2,944,907	0.49
11	SSBT-Parametric Tax-Managed Emerging Markets Fund	2,884,726	0.48
12	DFCC Bank PLC/J N Lanka Holdings Company (Pvt) Ltd	2,800,000	0.47
13	Guardian Fund Management Limited/The Aitken Spence and Associated Companies Executive Staff Provident Fund	2,314,838	0.39
14	Bank of Ceylon No. 1 Account	2,254,360	0.38
15	Mr. J. W. Nanayakkara /Mrs. H. D. Nanayakkara	2,100,000	0.35
16	Mr. G. B. D. Tilakaratne	2,011,884	0.34
17	Mr. A. M. Weerasinghe	2,000,000	0.33
18	Union Assurance PLC-Traditional Life Participating Fund	1,899,692	0.32
19	Industrial Asphalts (Ceylon) PLC	1,621,945	0.27
20	Mr. A.L.F. De Mel	1,600,000	0.27
	OTHERS	104,269,172	17.42
	TOTAL	598,605,680	100.00

There were no non voting shares as at 30 September 2023.

PUBLIC HOLDING

Percentage of public holding as at 30.09.2023 25.60%

Total number of shareholders representing the public holding 5,221

Flot-adjusted market capitalization RS. 1,471,133,319/07

The Company complies with option 1 of the Listing Rules 7.13.1 (i) (b) – Which requires Float Adjusted Market Capitalization of Rs.1 Bn and minimum number of shareholders of 200

DIRECTORS' SHAREHOLDINGS AS AT 30 September 2023

Directors' holdings of ordinary shares in the Company were as follows

Name of Director	No of Shares
Mr.A.M.Pandithage	20,000
Mr.D.W.P.N.Dediwela	21,338,400
Mr.S.C.Ganegoda	443,400
Mr.S.Munaweera	40,000
Mr.R.P.P.K. Rajapaksha	39,814
Total	21,881,614

Corporate Information

NAME OF COMPANY

Alumex PLC
(A limited Liability company, incorporated in Sri Lanka in 2007)

COMPANY NUMBER

PV 539 PQ

STOCK EXCHANGE LISTING

The ordinary shares of the Company are listed with the Colombo Stock Exchange of Sri Lanka on 31 March 2014

REGISTERED OFFICE

Pattiwila Road,
Sapugaskanda, Makola,
Sri Lanka
Telephone: +94 11 240 0332
Facsimile: +94 11 240 0415
Website: www.alumexgroup.com

DIRECTORS

A M Pandithage – Chairman
D W P N Dediwela -Managing Director
S C Ganegoda -Deputy Chairman
R P Pathirana (Resigned w.e.f. 30th June 2023)
A A Akbarally
Dr.H.Cabral, PC
S Munaweera
R P P K Rajapaksha
A J Hirdaramani (Alternate Director to R P Pathirana - Ceased to be an Alternate w.e.f. 30th June 2023.)
T Akbarally (Alternate Director to A A Akbarally)

AUDIT COMMITTEE

S Munaweera - Chairman
Dr.H.Cabral, PC
R P Pathirana

REMUNERATION COMMITTEE

Dr.H.Cabral, PC – Chairman
S Munaweera

AUDITORS

Ernst & Young
Chartered Accountants
No. 201, De Seram Place
Colombo 10, Sri Lanka

INVESTOR RELATIONS

Please contact Corporate Affaires Unit
Telephone: +94 11 262 7610
E-mail: info@cau.hayleys.com

SECRETARIES

Hayleys Group Services (Private) Limited
400, Deans Road, Colombo 10, Sri Lanka
Telephone: +94 11 262 7650
Facsimile: +94 11 262 7655
E-mail: info.sec@hayleys.com

Please direct any queries about the administration of shareholdings to the Company Secretaries

BANKERS

Commercial Bank of Ceylon PLC
Foreign Branch
Commercial House, NO 21, Sir Razik Fareed Mawatha
Colombo 01, Sri Lanka

Sampath Bank PLC
Head Office,
No. 110, Sir James Peiris Mawatha
Colombo 02, Sri Lanka

Bank of Ceylon
Corporate Branch
2nd Floor, Head Office
No. 04, Bank of Ceylon Mawatha
Colombo 01, Sri Lanka

Hatton National Bank PLC
Head office, No. 479, T. B. Jayah Mawatha
Colombo 10, Sri Lanka

Citi Bank N.A. Colombo.
65C, Dharmapala Mawatha,
Colombo 07, Sri Lanka

Standard Chartered Bank
37 York Street
Colombo 1

People's Bank
Head Office, No.75, Sir Chittampalam A Gardiner Mawatha
Colombo 02

Nation Trust Bank PLC
Millennium House,
Nawam Mawatha, Colombo 02

National Development Bank
No.40, Nawam Mawatha, Colombo 02